ANNUAL OPERATING BUDGET

Dunmore Pelican Data Campus | Naperville, IL

Property	Dunmore Pelican Data Campus
Fiscal Year	2019
Submitted By	Redwood Property Management
Submitted	December 29, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$575,427	$544,827	$567,895	-$7,532	-1.3%	$23,662.28
5010 Loss to Lease	$1,058,058	$1,104,009	$1,166,933	$108,875	10.3%	$48,622.20
5020 Vacancy Loss	$458,602	$452,747	$457,753	-$849	-0.2%	$19,073.03
5030 Concessions	$113,611	$108,121	$112,408	-$1,202	-1.1%	$4,683.68
5040 Bad Debt	$776,880	$732,618	$752,801	-$24,080	-3.1%	$31,366.69
5050 Late Fees	$1,522,217	$1,562,310	$1,655,373	$133,157	8.7%	$68,973.89
5060 Utility Reimbursements	$982,002	$946,903	$964,485	-$17,517	-1.8%	$40,186.87
5070 Parking Income	$464,803	$438,412	$468,733	$3,930	0.8%	$19,530.55
5080 Application Fees	$1,152,376	$1,208,565	$1,231,986	$79,610	6.9%	$51,332.74
5090 Pet Rent	$464,079	$500,555	$520,679	$56,600	12.2%	$21,694.94
5100 Laundry Income	$1,438,764	$1,410,724	$1,487,360	$48,596	3.4%	$61,973.33
5110 Cable/Internet Revenue	$1,186,172	$1,168,653	$1,210,364	$24,192	2.0%	$50,431.83
5120 CAM Reimbursements	$1,397,908	$1,445,040	$1,502,261	$104,353	7.5%	$62,594.21
5130 Tax Reimbursements	$1,267,132	$1,279,851	$1,307,780	$40,649	3.2%	$54,490.84
5140 Insurance Reimbursements	$873,591	$870,228	$928,661	$55,070	6.3%	$38,694.21
5150 Percentage Rent	$653,731	$620,252	$663,532	$9,801	1.5%	$27,647.15
5160 Misc. Income	$268,731	$263,396	$264,018	-$4,713	-1.8%	$11,000.77
5170 Payroll - Management	$299,151	$301,158	$316,168	$17,017	5.7%	$13,173.67
5180 Payroll - Leasing	$1,147,891	$1,107,707	$1,171,470	$23,580	2.1%	$48,811.27
5190 Payroll - Maintenance	$1,626,491	$1,569,017	$1,646,862	$20,371	1.3%	$68,619.23
5200 Payroll Taxes & Benefits	$1,577,476	$1,526,841	$1,579,926	$2,449	0.2%	$65,830.23
5210 Repairs - Plumbing	$1,294,460	$1,214,256	$1,222,958	-$71,501	-5.5%	$50,956.60
5220 Repairs - HVAC	$288,187	$306,989	$316,916	$28,730	10.0%	$13,204.85
5230 Repairs - Electrical	$1,439,156	$1,548,678	$1,569,918	$130,761	9.1%	$65,413.24
5240 Repairs - Appliances	$300,819	$309,476	$313,069	$12,250	4.1%	$13,044.56

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$525,067	$516,498	$550,888	$25,821	4.9%	$22,953.66
5420 Office Supplies	$1,034,211	$954,101	$1,004,271	-$29,940	-2.9%	$41,844.62
5430 Legal & Professional	$920,652	$978,666	$1,035,574	$114,922	12.5%	$43,148.91
5440 Accounting & Audit	$888,879	$852,880	$871,674	-$17,205	-1.9%	$36,319.75
5450 Licenses & Permits	$1,455,511	$1,426,154	$1,505,391	$49,880	3.4%	$62,724.63
5460 Management Fee	$1,134,259	$1,116,862	$1,190,863	$56,605	5.0%	$49,619.31
5470 Property Insurance	$429,589	$430,498	$460,079	$30,490	7.1%	$19,169.98
5480 Real Estate Taxes	$595,819	$609,750	$613,304	$17,485	2.9%	$25,554.32
5490 Asset Management Fee	$208,215	$215,321	$229,510	$21,295	10.2%	$9,562.91
5500 Replacement Reserves	$1,340,202	$1,447,382	$1,525,175	$184,972	13.8%	$63,548.95
5510 Roof Repairs	$789,045	$831,036	$833,607	$44,562	5.6%	$34,733.63
5520 Parking Lot Repairs	$352,518	$373,573	$388,643	$36,125	10.2%	$16,193.47
5530 Signage	$606,507	$635,624	$668,814	$62,307	10.3%	$27,867.24
5540 Tenant Improvements	$361,753	$344,625	$349,197	-$12,556	-3.5%	$14,549.86
5550 Leasing Commissions	$1,001,164	$979,746	$982,247	-$18,916	-1.9%	$40,926.98
5000 Gross Potential Rent	$1,294,940	$1,281,988	$1,301,357	$6,417	0.5%	$54,223.21
5010 Loss to Lease	$627,631	$658,711	$671,460	$43,829	7.0%	$27,977.51
5020 Vacancy Loss	$173,424	$161,996	$171,790	-$1,634	-0.9%	$7,157.92
5030 Concessions	$741,339	$708,756	$743,982	$2,643	0.4%	$30,999.26
5040 Bad Debt	$854,768	$905,022	$925,296	$70,528	8.3%	$38,554.02
5050 Late Fees	$1,102,473	$1,153,280	$1,165,261	$62,788	5.7%	$48,552.52
5060 Utility Reimbursements	$191,109	$195,461	$199,571	$8,463	4.4%	$8,315.48
5070 Parking Income	$1,603,405	$1,703,005	$1,811,764	$208,359	13.0%	$75,490.18
5080 Application Fees	$1,485,341	$1,454,485	$1,495,156	$9,816	0.7%	$62,298.19
5090 Pet Rent	$1,039,866	$1,017,076	$1,080,866	$40,999	3.9%	$45,036.07
5100 Laundry Income	$1,598,447	$1,483,405	$1,498,134	-$100,312	-6.3%	$62,422.27
5110 Cable/Internet Revenue	$897,350	$887,005	$889,911	-$7,439	-0.8%	$37,079.61
5120 CAM Reimbursements	$532,889	$544,870	$550,054	$17,165	3.2%	$22,918.91
5130 Tax Reimbursements	$658,617	$629,269	$652,042	-$6,575	-1.0%	$27,168.42
5140 Insurance Reimbursements	$927,854	$993,036	$1,010,040	$82,186	8.9%	$42,084.99
5150 Percentage Rent	$1,406,798	$1,368,371	$1,431,290	$24,493	1.7%	$59,637.09
5160 Misc. Income	$990,327	$950,954	$986,427	-$3,900	-0.4%	$41,101.14
5170 Payroll - Management	$1,325,101	$1,408,998	$1,437,172	$112,071	8.5%	$59,882.18
5180 Payroll - Leasing	$99,460	$101,421	$102,755	$3,295	3.3%	$4,281.46
5190 Payroll - Maintenance	$931,973	$990,857	$1,042,965	$110,992	11.9%	$43,456.87
5200 Payroll Taxes & Benefits	$1,494,385	$1,578,178	$1,669,981	$175,596	11.8%	$69,582.54
5210 Repairs - Plumbing	$654,019	$648,029	$669,309	$15,289	2.3%	$27,887.86
5220 Repairs - HVAC	$310,987	$314,944	$317,237	$6,250	2.0%	$13,218.22
5230 Repairs - Electrical	$479,668	$492,682	$516,958	$37,291	7.8%	$21,539.93
5240 Repairs - Appliances	$297,516	$300,620	$315,229	$17,713	6.0%	$13,134.55
5250 Painting & Decorating	$1,232,980	$1,213,147	$1,220,284	-$12,696	-1.0%	$50,845.19

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Financial Analysis

Operating expenses totaled $298,000 or approximately 14.41 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.61x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 36 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Debt service coverage ratio was 7.49x on a trailing basis against a covenant minimum of 1.20x. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 7.49% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. Collections for the period were 95.1% of billed charges, with bad debt of 4.2% of gross potential income.

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 30 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 21 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Income and Expense Review

The facility is a purpose-built data center with 9 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.0% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Carrier-neutral meet-me room supports multiple fiber providers. The going-in capitalization rate of 7.25% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 45 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members.

Carrier-neutral meet-me room supports multiple fiber providers. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Collections for the period were 90.9% of billed charges, with bad debt of 6.7% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Service requests are tracked through a work-order system with an average completion time of 20 hours.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $247,000, representing a 13.8% increase over the prior year. Operating expenses totaled $317,000 or approximately 21.10 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period.

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 6.88x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $433,000 or approximately 29.03 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 41 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5260 Flooring	$1,556,696	$1,484,973	$1,529,225	-$27,471	-1.8%	$63,717.70
5270 Make-Ready / Turnover	$1,024,958	$988,330	$1,031,489	$6,531	0.6%	$42,978.71
5280 Landscaping Contract	$248,247	$266,947	$280,099	$31,851	12.8%	$11,670.77
5290 Snow Removal	$1,520,486	$1,464,151	$1,468,938	-$51,548	-3.4%	$61,205.76
5300 Janitorial	$1,155,816	$1,239,398	$1,308,606	$152,790	13.2%	$54,525.25
5310 Pest Control	$770,996	$823,082	$851,928	$80,932	10.5%	$35,497.01
5320 Trash Removal	$1,340,680	$1,340,579	$1,433,463	$92,783	6.9%	$59,727.61
5330 Elevator Contract	$1,522,477	$1,595,568	$1,618,058	$95,581	6.3%	$67,419.08
5340 Fire & Life Safety	$840,599	$857,481	$907,149	$66,550	7.9%	$37,797.88
5350 Security	$177,801	$189,774	$192,248	$14,446	8.1%	$8,010.32
5360 Electricity - Common	$208,790	$192,189	$199,301	-$9,489	-4.5%	$8,304.20
5370 Gas - Common	$826,902	$774,873	$807,224	-$19,678	-2.4%	$33,634.33
5380 Water & Sewer	$1,455,220	$1,374,785	$1,377,350	-$77,871	-5.4%	$57,389.56
5390 Telephone/Internet	$1,633,044	$1,552,560	$1,553,071	-$79,973	-4.9%	$64,711.28
5400 Advertising	$476,339	$445,100	$463,900	-$12,439	-2.6%	$19,329.18
5410 Resident Events	$391,709	$415,639	$435,835	$44,125	11.3%	$18,159.78
5420 Office Supplies	$415,650	$390,587	$407,301	-$8,349	-2.0%	$16,970.89
5430 Legal & Professional	$243,592	$228,939	$239,155	-$4,438	-1.8%	$9,964.78
5440 Accounting & Audit	$1,566,655	$1,492,454	$1,571,691	$5,035	0.3%	$65,487.12
5450 Licenses & Permits	$1,462,614	$1,426,769	$1,502,983	$40,370	2.8%	$62,624.30
5460 Management Fee	$1,325,190	$1,267,434	$1,326,449	$1,259	0.1%	$55,268.72
5470 Property Insurance	$771,753	$807,461	$847,016	$75,263	9.8%	$35,292.33
5480 Real Estate Taxes	$747,831	$772,523	$788,174	$40,343	5.4%	$32,840.58
5490 Asset Management Fee	$1,045,974	$1,017,831	$1,078,216	$32,241	3.1%	$44,925.65
5500 Replacement Reserves	$719,534	$746,296	$773,795	$54,261	7.5%	$32,241.46
5510 Roof Repairs	$377,903	$363,229	$374,174	-$3,729	-1.0%	$15,590.58
5520 Parking Lot Repairs	$1,369,813	$1,450,113	$1,469,389	$99,576	7.3%	$61,224.54
5530 Signage	$533,537	$570,710	$592,448	$58,911	11.0%	$24,685.33
5540 Tenant Improvements	$1,290,943	$1,266,908	$1,308,434	$17,490	1.4%	$54,518.06
5550 Leasing Commissions	$247,772	$258,518	$273,879	$26,106	10.5%	$11,411.62
5000 Gross Potential Rent	$1,395,030	$1,324,908	$1,351,555	-$43,474	-3.1%	$56,314.81
5010 Loss to Lease	$1,629,178	$1,669,909	$1,719,951	$90,773	5.6%	$71,664.64
5020 Vacancy Loss	$1,104,630	$1,094,845	$1,112,509	$7,879	0.7%	$46,354.55
5030 Concessions	$218,106	$217,846	$220,976	$2,870	1.3%	$9,207.34
5040 Bad Debt	$504,981	$497,466	$503,571	-$1,410	-0.3%	$20,982.14
5050 Late Fees	$688,701	$662,548	$679,100	-$9,602	-1.4%	$28,295.82
5060 Utility Reimbursements	$991,416	$1,001,019	$1,009,681	$18,264	1.8%	$42,070.02
5070 Parking Income	$507,222	$535,622	$551,884	$44,662	8.8%	$22,995.16
5080 Application Fees	$655,111	$634,309	$642,806	-$12,305	-1.9%	$26,783.58
5090 Pet Rent	$1,299,546	$1,251,111	$1,315,467	$15,921	1.2%	$54,811.11
5100 Laundry Income	$938,938	$993,028	$1,058,075	$119,137	12.7%	$44,086.44

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Operating Performance

Debt service coverage ratio was 5.25x on a trailing basis against a covenant minimum of 1.20x. The facility is a purpose-built data center with 27 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers.

Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. The facility is a purpose-built data center with 43 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $446,000, representing a 13.8% increase over the prior year.

Management Commentary

Collections for the period were 96.4% of billed charges, with bad debt of 7.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members. Service requests are tracked through a work-order system with an average completion time of 41 hours. The facility is a purpose-built data center with 22 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

The facility is a purpose-built data center with 26 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 28 hours. Collections for the period were 91.6% of billed charges, with bad debt of 7.7% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 4.3% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $118,000, representing a 11.0% increase over the prior year. Operating expenses totaled $43,000 or approximately 25.39 per square foot, with real estate taxes representing the largest line item. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Effective gross income for the trailing period was $265,000, representing a 4.3% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 42 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 32 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is a purpose-built data center with 29 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Service requests are tracked through a work-order system with an average completion time of 6 hours.

Financial Analysis

Net operating income is projected to grow at a compound annual rate of 6.3% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 7.80% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 41 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Operating expenses totaled $383,000 or approximately 45.61 per square foot, with real estate taxes representing the largest line item.

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5140 Insurance Reimbursements	$904,431	$943,501	$984,326	$79,895	8.8%	$41,013.57
5150 Percentage Rent	$699,631	$744,649	$778,210	$78,579	11.2%	$32,425.41
5160 Misc. Income	$991,482	$959,323	$981,267	-$10,215	-1.0%	$40,886.14
5170 Payroll - Management	$857,517	$871,381	$932,048	$74,531	8.7%	$38,835.34
5180 Payroll - Leasing	$1,644,405	$1,678,178	$1,695,952	$51,547	3.1%	$70,664.68
5190 Payroll - Maintenance	$973,371	$987,741	$997,680	$24,309	2.5%	$41,570.01
5200 Payroll Taxes & Benefits	$1,237,394	$1,167,677	$1,242,354	$4,960	0.4%	$51,764.74
5210 Repairs - Plumbing	$102,643	$103,144	$103,561	$918	0.9%	$4,315.02
5220 Repairs - HVAC	$1,150,472	$1,222,613	$1,286,192	$135,721	11.8%	$53,591.35
5230 Repairs - Electrical	$1,089,188	$1,154,508	$1,220,910	$131,723	12.1%	$50,871.26
5240 Repairs - Appliances	$673,198	$725,328	$765,999	$92,801	13.8%	$31,916.61
5250 Painting & Decorating	$1,103,610	$1,040,850	$1,081,869	-$21,741	-2.0%	$45,077.87
5260 Flooring	$1,038,113	$1,055,096	$1,120,623	$82,510	7.9%	$46,692.63
5270 Make-Ready / Turnover	$1,332,659	$1,333,942	$1,355,410	$22,752	1.7%	$56,475.43
5280 Landscaping Contract	$1,013,692	$935,443	$954,799	-$58,893	-5.8%	$39,783.29
5290 Snow Removal	$307,608	$288,861	$302,158	-$5,450	-1.8%	$12,589.93
5300 Janitorial	$763,077	$793,818	$840,773	$77,696	10.2%	$35,032.21
5310 Pest Control	$594,419	$548,848	$582,902	-$11,516	-1.9%	$24,287.60
5320 Trash Removal	$1,346,398	$1,296,462	$1,313,081	-$33,317	-2.5%	$54,711.70
5330 Elevator Contract	$1,596,712	$1,529,620	$1,623,198	$26,486	1.7%	$67,633.24
5340 Fire & Life Safety	$791,142	$755,535	$768,532	-$22,610	-2.9%	$32,022.18
5350 Security	$419,428	$422,710	$446,170	$26,742	6.4%	$18,590.42
5360 Electricity - Common	$1,142,161	$1,217,978	$1,249,805	$107,644	9.4%	$52,075.22
5370 Gas - Common	$206,192	$192,144	$196,924	-$9,269	-4.5%	$8,205.15
5380 Water & Sewer	$1,500,550	$1,397,566	$1,432,806	-$67,744	-4.5%	$59,700.27
5390 Telephone/Internet	$868,748	$934,730	$966,807	$98,059	11.3%	$40,283.63
5400 Advertising	$665,591	$631,684	$640,888	-$24,703	-3.7%	$26,703.69
5410 Resident Events	$1,401,578	$1,480,384	$1,482,614	$81,036	5.8%	$61,775.57
5420 Office Supplies	$279,123	$278,963	$279,822	$698	0.3%	$11,659.23
5430 Legal & Professional	$81,225	$75,246	$78,268	-$2,957	-3.6%	$3,261.16
5440 Accounting & Audit	$461,169	$449,963	$460,530	-$639	-0.1%	$19,188.76
5450 Licenses & Permits	$591,226	$549,171	$551,777	-$39,449	-6.7%	$22,990.71
5460 Management Fee	$1,142,040	$1,232,358	$1,295,828	$153,788	13.5%	$53,992.84
5470 Property Insurance	$1,418,655	$1,380,456	$1,425,480	$6,824	0.5%	$59,394.98
5480 Real Estate Taxes	$101,136	$97,901	$101,013	-$124	-0.1%	$4,208.86
5490 Asset Management Fee	$551,689	$558,193	$596,640	$44,951	8.1%	$24,860.00
5500 Replacement Reserves	$821,873	$780,646	$790,965	-$30,908	-3.8%	$32,956.87
5510 Roof Repairs	$379,830	$361,049	$367,876	-$11,954	-3.1%	$15,328.17
5520 Parking Lot Repairs	$1,296,404	$1,360,768	$1,413,104	$116,700	9.0%	$58,879.33
5530 Signage	$1,425,697	$1,315,055	$1,375,433	-$50,264	-3.5%	$57,309.71
5540 Tenant Improvements	$1,269,236	$1,187,644	$1,224,141	-$45,095	-3.6%	$51,005.89
5550 Leasing Commissions	$87,034	$87,808	$92,178	$5,144	5.9%	$3,840.77

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Income and Expense Review

Debt service coverage ratio was 5.80x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Effective gross income for the trailing period was $302,000, representing a 10.1% increase over the prior year. The facility is a purpose-built data center with 10 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Carrier-neutral meet-me room supports multiple fiber providers. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Debt service coverage ratio was 5.90x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.72% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Service requests are tracked through a work-order system with an average completion time of 17 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 48 additional team members. The facility is a purpose-built data center with 14 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Service requests are tracked through a work-order system with an average completion time of 2 hours. Collections for the period were 93.3% of billed charges, with bad debt of 6.3% of gross potential income.

Financial Analysis

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $133,000, representing a 10.6% increase over the prior year. The going-in capitalization rate of 7.27% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $410,000 or approximately 14.46 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period.

Debt service coverage ratio was 6.23x on a trailing basis against a covenant minimum of 1.20x. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $335,000, representing a 9.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Collections for the period were 92.4% of billed charges, with bad debt of 6.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 24 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is a purpose-built data center with 17 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Financial Analysis

Effective gross income for the trailing period was $259,000, representing a 5.2% increase over the prior year. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Operating expenses totaled $229,000 or approximately 41.66 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period.

The going-in capitalization rate of 5.59% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 7.5% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $201,000, representing a 4.0% increase over the prior year.

Leasing and Marketing

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$338,820	$356,925	$372,067	$33,247	9.8%	$15,502.81
5010 Loss to Lease	$274,287	$264,815	$282,866	$8,579	3.1%	$11,786.07
5020 Vacancy Loss	$85,684	$79,844	$84,756	-$927	-1.1%	$3,531.52
5030 Concessions	$1,523,720	$1,469,560	$1,543,822	$20,102	1.3%	$64,325.90
5040 Bad Debt	$1,323,776	$1,413,239	$1,433,776	$110,001	8.3%	$59,740.68
5050 Late Fees	$708,352	$716,885	$764,403	$56,051	7.9%	$31,850.14
5060 Utility Reimbursements	$1,083,177	$1,156,361	$1,168,866	$85,689	7.9%	$48,702.74
5070 Parking Income	$226,205	$210,527	$215,032	-$11,173	-4.9%	$8,959.65
5080 Application Fees	$1,218,346	$1,272,935	$1,287,509	$69,163	5.7%	$53,646.19
5090 Pet Rent	$783,071	$794,572	$839,266	$56,195	7.2%	$34,969.42
5100 Laundry Income	$1,103,700	$1,050,270	$1,091,114	-$12,586	-1.1%	$45,463.06
5110 Cable/Internet Revenue	$749,462	$789,427	$819,292	$69,829	9.3%	$34,137.15
5120 CAM Reimbursements	$1,174,616	$1,230,239	$1,295,885	$121,269	10.3%	$53,995.20
5130 Tax Reimbursements	$1,169,031	$1,134,963	$1,209,742	$40,710	3.5%	$50,405.91
5140 Insurance Reimbursements	$764,546	$710,468	$725,138	-$39,408	-5.2%	$30,214.07
5150 Percentage Rent	$1,216,564	$1,259,339	$1,314,514	$97,950	8.1%	$54,771.40
5160 Misc. Income	$342,292	$322,063	$331,205	-$11,087	-3.2%	$13,800.19
5170 Payroll - Management	$404,014	$392,812	$397,539	-$6,475	-1.6%	$16,564.14
5180 Payroll - Leasing	$310,605	$317,294	$331,043	$20,438	6.6%	$13,793.48
5190 Payroll - Maintenance	$1,331,471	$1,417,150	$1,512,074	$180,603	13.6%	$63,003.10
5200 Payroll Taxes & Benefits	$151,534	$156,033	$165,422	$13,888	9.2%	$6,892.59
5210 Repairs - Plumbing	$968,095	$1,031,757	$1,056,136	$88,041	9.1%	$44,005.66
5220 Repairs - HVAC	$1,431,038	$1,419,888	$1,504,866	$73,829	5.2%	$62,702.77
5230 Repairs - Electrical	$664,142	$682,506	$699,594	$35,452	5.3%	$29,149.75
5240 Repairs - Appliances	$770,733	$757,046	$809,385	$38,651	5.0%	$33,724.36
5250 Painting & Decorating	$839,238	$800,495	$830,866	-$8,372	-1.0%	$34,619.43
5260 Flooring	$707,295	$755,414	$757,246	$49,951	7.1%	$31,551.93
5270 Make-Ready / Turnover	$1,085,959	$1,002,320	$1,067,369	-$18,590	-1.7%	$44,473.73
5280 Landscaping Contract	$404,496	$375,332	$397,320	-$7,176	-1.8%	$16,555.00
5290 Snow Removal	$1,270,318	$1,275,210	$1,331,645	$61,327	4.8%	$55,485.21
5300 Janitorial	$1,351,878	$1,246,551	$1,265,252	-$86,626	-6.4%	$52,718.82
5310 Pest Control	$1,579,090	$1,665,735	$1,777,301	$198,211	12.6%	$74,054.21
5320 Trash Removal	$240,982	$236,942	$249,159	$8,177	3.4%	$10,381.62
5330 Elevator Contract	$213,687	$205,614	$208,819	-$4,868	-2.3%	$8,700.80
5340 Fire & Life Safety	$619,283	$591,184	$624,411	$5,127	0.8%	$26,017.11
5350 Security	$662,516	$624,995	$661,403	-$1,113	-0.2%	$27,558.45
5360 Electricity - Common	$794,375	$821,404	$855,299	$60,924	7.7%	$35,637.45
5370 Gas - Common	$1,628,948	$1,718,343	$1,779,129	$150,181	9.2%	$74,130.38
5380 Water & Sewer	$783,153	$757,365	$790,702	$7,549	1.0%	$32,945.93
5390 Telephone/Internet	$1,139,670	$1,119,749	$1,125,301	-$14,369	-1.3%	$46,887.53
5400 Advertising	$1,028,243	$1,047,102	$1,099,096	$70,853	6.9%	$45,795.67
5410 Resident Events	$545,510	$518,857	$553,459	$7,949	1.5%	$23,060.79

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Operating Performance

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 8.12% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 27 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Operating expenses totaled $457,000 or approximately 23.35 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.76x on a trailing basis against a covenant minimum of 1.20x.

Property Operations

Collections for the period were 94.4% of billed charges, with bad debt of 5.0% of gross potential income. Carrier-neutral meet-me room supports multiple fiber providers. Service requests are tracked through a work-order system with an average completion time of 47 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members.

The facility is a purpose-built data center with 31 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 47 additional team members. Service requests are tracked through a work-order system with an average completion time of 44 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Financial Analysis

The facility is a purpose-built data center with 14 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Effective gross income for the trailing period was $371,000, representing a 8.6% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $183,000 or approximately 20.51 per square foot, with real estate taxes representing the largest line item.

Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.83% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $472,000, representing a 5.5% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Collections for the period were 89.4% of billed charges, with bad debt of 7.9% of gross potential income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 2 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Collections for the period were 92.6% of billed charges, with bad debt of 5.5% of gross potential income.

Income and Expense Review

The going-in capitalization rate of 5.16% reflects the in-place income and the stabilized occupancy assumption. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Carrier-neutral meet-me room supports multiple fiber providers.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $8,000, representing a 2.7% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $189,000 or approximately 43.76 per square foot, with real estate taxes representing the largest line item. The facility is a purpose-built data center with 37 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5370 Gas - Common	$1,206,511	$1,269,809	$1,304,840	$98,329	8.1%	$54,368.32
5380 Water & Sewer	$1,240,427	$1,281,164	$1,338,139	$97,712	7.9%	$55,755.80
5390 Telephone/Internet	$208,589	$218,118	$222,255	$13,666	6.6%	$9,260.63
5400 Advertising	$949,442	$960,286	$1,025,402	$75,959	8.0%	$42,725.07
5410 Resident Events	$171,325	$164,666	$169,511	-$1,814	-1.1%	$7,062.96
5420 Office Supplies	$806,420	$814,484	$814,957	$8,538	1.1%	$33,956.56
5430 Legal & Professional	$493,994	$484,176	$505,397	$11,403	2.3%	$21,058.21
5440 Accounting & Audit	$1,103,739	$1,099,229	$1,170,090	$66,351	6.0%	$48,753.74
5450 Licenses & Permits	$124,734	$124,169	$131,712	$6,978	5.6%	$5,487.99
5460 Management Fee	$179,520	$184,222	$196,779	$17,259	9.6%	$8,199.13
5470 Property Insurance	$686,940	$660,246	$698,015	$11,076	1.6%	$29,083.98
5480 Real Estate Taxes	$1,276,653	$1,179,431	$1,195,053	-$81,601	-6.4%	$49,793.86
5490 Asset Management Fee	$1,431,360	$1,344,284	$1,368,138	-$63,222	-4.4%	$57,005.74
5500 Replacement Reserves	$1,626,514	$1,724,468	$1,761,479	$134,965	8.3%	$73,394.98
5510 Roof Repairs	$461,894	$491,536	$505,457	$43,563	9.4%	$21,060.72
5520 Parking Lot Repairs	$100,286	$107,444	$113,643	$13,357	13.3%	$4,735.12
5530 Signage	$174,784	$165,615	$171,586	-$3,197	-1.8%	$7,149.44
5540 Tenant Improvements	$1,307,732	$1,231,151	$1,284,646	-$23,085	-1.8%	$53,526.93
5550 Leasing Commissions	$930,600	$968,988	$1,017,852	$87,252	9.4%	$42,410.52
5000 Gross Potential Rent	$536,982	$532,269	$534,342	-$2,640	-0.5%	$22,264.27
5010 Loss to Lease	$1,213,565	$1,135,561	$1,202,698	-$10,868	-0.9%	$50,112.41
5020 Vacancy Loss	$418,976	$439,794	$446,442	$27,466	6.6%	$18,601.74
5030 Concessions	$737,469	$789,213	$826,721	$89,251	12.1%	$34,446.69
5040 Bad Debt	$96,614	$94,805	$96,076	-$538	-0.6%	$4,003.17
5050 Late Fees	$399,490	$369,547	$394,517	-$4,973	-1.2%	$16,438.19
5060 Utility Reimbursements	$978,305	$961,850	$1,001,964	$23,659	2.4%	$41,748.50
5070 Parking Income	$1,654,637	$1,710,113	$1,817,478	$162,841	9.8%	$75,728.25
5080 Application Fees	$1,102,319	$1,023,669	$1,027,762	-$74,557	-6.8%	$42,823.42
5090 Pet Rent	$713,965	$738,371	$766,706	$52,741	7.4%	$31,946.08
5100 Laundry Income	$841,508	$900,478	$924,154	$82,646	9.8%	$38,506.42
5110 Cable/Internet Revenue	$1,181,091	$1,263,022	$1,265,208	$84,117	7.1%	$52,717.02
5120 CAM Reimbursements	$1,560,462	$1,672,905	$1,673,309	$112,848	7.2%	$69,721.23
5130 Tax Reimbursements	$190,949	$187,733	$198,252	$7,303	3.8%	$8,260.50
5140 Insurance Reimbursements	$361,666	$341,746	$361,219	-$447	-0.1%	$15,050.78
5150 Percentage Rent	$1,248,889	$1,243,318	$1,310,717	$61,828	5.0%	$54,613.20
5160 Misc. Income	$865,137	$929,861	$968,615	$103,477	12.0%	$40,358.94
5170 Payroll - Management	$1,268,559	$1,274,456	$1,345,552	$76,993	6.1%	$56,064.68
5180 Payroll - Leasing	$728,517	$731,899	$738,491	$9,974	1.4%	$30,770.46
5190 Payroll - Maintenance	$215,804	$199,600	$206,623	-$9,180	-4.3%	$8,609.30
5200 Payroll Taxes & Benefits	$950,344	$998,868	$1,055,114	$104,770	11.0%	$43,963.08
5210 Repairs - Plumbing	$1,507,927	$1,542,195	$1,649,347	$141,420	9.4%	$68,722.79

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Valuation Discussion

Operating expenses totaled $184,000 or approximately 47.15 per square foot, with real estate taxes representing the largest line item. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.01% reflects the in-place income and the stabilized occupancy assumption.

The facility is a purpose-built data center with 34 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. The going-in capitalization rate of 6.73% reflects the in-place income and the stabilized occupancy assumption. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers.

Management Commentary

The facility is a purpose-built data center with 33 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Collections for the period were 90.5% of billed charges, with bad debt of 6.9% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 6 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The going-in capitalization rate of 7.56% reflects the in-place income and the stabilized occupancy assumption. The facility is a purpose-built data center with 36 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter.

Debt service coverage ratio was 7.28x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.11% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.7% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $238,000 or approximately 20.04 per square foot, with real estate taxes representing the largest line item.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 44 hours. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Service requests are tracked through a work-order system with an average completion time of 32 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 21th business day. Carrier-neutral meet-me room supports multiple fiber providers. The facility is a purpose-built data center with 30 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Financial Analysis

On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The facility is a purpose-built data center with 19 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Debt service coverage ratio was 5.64x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $195,000, representing a 11.4% increase over the prior year. The going-in capitalization rate of 7.37% reflects the in-place income and the stabilized occupancy assumption.

Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. The going-in capitalization rate of 7.45% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5280 Landscaping Contract	$264,198	$244,188	$248,954	-$15,244	-5.8%	$10,373.10
5290 Snow Removal	$76,178	$74,627	$77,326	$1,148	1.5%	$3,221.90
5300 Janitorial	$935,220	$966,005	$981,414	$46,194	4.9%	$40,892.26
5310 Pest Control	$686,734	$665,574	$691,388	$4,654	0.7%	$28,807.84
5320 Trash Removal	$605,626	$635,836	$658,134	$52,508	8.7%	$27,422.25
5330 Elevator Contract	$328,234	$351,489	$355,723	$27,489	8.4%	$14,821.79
5340 Fire & Life Safety	$1,020,788	$1,007,064	$1,026,089	$5,301	0.5%	$42,753.71
5350 Security	$1,073,867	$1,156,408	$1,220,599	$146,732	13.7%	$50,858.29
5360 Electricity - Common	$1,140,407	$1,082,129	$1,089,019	-$51,388	-4.5%	$45,375.79
5370 Gas - Common	$1,049,605	$1,122,676	$1,165,370	$115,765	11.0%	$48,557.10
5380 Water & Sewer	$1,304,059	$1,366,216	$1,374,858	$70,799	5.4%	$57,285.77
5390 Telephone/Internet	$1,252,270	$1,265,968	$1,298,734	$46,464	3.7%	$54,113.90
5400 Advertising	$1,652,063	$1,680,291	$1,712,125	$60,063	3.6%	$71,338.55
5410 Resident Events	$386,574	$402,868	$419,846	$33,271	8.6%	$17,493.58
5420 Office Supplies	$1,192,524	$1,268,478	$1,331,392	$138,867	11.6%	$55,474.65
5430 Legal & Professional	$520,352	$531,940	$549,679	$29,326	5.6%	$22,903.28
5440 Accounting & Audit	$256,539	$270,015	$273,666	$17,127	6.7%	$11,402.74
5450 Licenses & Permits	$1,079,060	$996,897	$1,016,929	-$62,131	-5.8%	$42,372.03
5460 Management Fee	$977,047	$943,072	$989,862	$12,815	1.3%	$41,244.24
5470 Property Insurance	$476,807	$493,772	$494,303	$17,496	3.7%	$20,595.95
5480 Real Estate Taxes	$933,767	$942,030	$997,288	$63,520	6.8%	$41,553.65
5490 Asset Management Fee	$838,717	$874,111	$923,090	$84,374	10.1%	$38,462.10
5500 Replacement Reserves	$978,875	$1,025,500	$1,093,887	$115,012	11.7%	$45,578.64
5510 Roof Repairs	$253,730	$247,234	$255,824	$2,094	0.8%	$10,659.34
5520 Parking Lot Repairs	$361,298	$371,287	$375,152	$13,855	3.8%	$15,631.34
5530 Signage	$1,331,894	$1,259,858	$1,324,309	-$7,584	-0.6%	$55,179.55
5540 Tenant Improvements	$1,662,366	$1,645,635	$1,724,516	$62,150	3.7%	$71,854.84
5550 Leasing Commissions	$1,061,535	$1,112,864	$1,188,437	$126,902	12.0%	$49,518.20
5000 Gross Potential Rent	$1,021,476	$1,032,946	$1,088,478	$67,001	6.6%	$45,353.24
5010 Loss to Lease	$1,467,672	$1,561,299	$1,572,963	$105,290	7.2%	$65,540.11
5020 Vacancy Loss	$1,069,644	$1,051,415	$1,062,484	-$7,160	-0.7%	$44,270.16
5030 Concessions	$1,272,862	$1,175,142	$1,187,204	-$85,658	-6.7%	$49,466.85
5040 Bad Debt	$732,770	$788,748	$822,234	$89,464	12.2%	$34,259.77
5050 Late Fees	$859,129	$802,817	$857,153	-$1,976	-0.2%	$35,714.70
5060 Utility Reimbursements	$1,308,805	$1,250,969	$1,328,985	$20,180	1.5%	$55,374.38
5070 Parking Income	$1,555,201	$1,452,868	$1,528,753	-$26,449	-1.7%	$63,698.02
5080 Application Fees	$318,754	$303,733	$316,731	-$2,023	-0.6%	$13,197.14
5090 Pet Rent	$770,078	$792,654	$845,666	$75,588	9.8%	$35,236.09
5100 Laundry Income	$1,061,828	$1,063,348	$1,102,112	$40,284	3.8%	$45,921.34
5110 Cable/Internet Revenue	$1,047,456	$1,038,804	$1,108,384	$60,928	5.8%	$46,182.68
5120 CAM Reimbursements	$278,051	$268,929	$286,397	$8,346	3.0%	$11,933.20
5130 Tax Reimbursements	$1,364,781	$1,288,438	$1,297,912	-$66,869	-4.9%	$54,079.67

Report generated 12/29/2024. Figures are unaudited and subject to change.

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Financial Analysis

The going-in capitalization rate of 5.86% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $279,000 or approximately 11.31 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost.

Debt service coverage ratio was 7.13x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.52% reflects the in-place income and the stabilized occupancy assumption.

Management Commentary

Collections for the period were 95.8% of billed charges, with bad debt of 3.9% of gross potential income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. Service requests are tracked through a work-order system with an average completion time of 21 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Collections for the period were 89.3% of billed charges, with bad debt of 5.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 15 hours. The facility is a purpose-built data center with 39 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The facility is a purpose-built data center with 21 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $370,000, representing a 11.8% increase over the prior year. Carrier-neutral meet-me room supports multiple fiber providers.

The going-in capitalization rate of 5.23% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 26 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Management Commentary

The facility is a purpose-built data center with 11 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The manager completes a monthly walk of the property and submits a variance report to the owner by the 45th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 26 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Carrier-neutral meet-me room supports multiple fiber providers. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. The facility is a purpose-built data center with 11 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds.

Income and Expense Review

Operating expenses totaled $473,000 or approximately 28.75 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The facility is a purpose-built data center with 20 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. Carrier-neutral meet-me room supports multiple fiber providers.

The facility is a purpose-built data center with 15 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. The going-in capitalization rate of 6.00% reflects the in-place income and the stabilized occupancy assumption. Carrier-neutral meet-me room supports multiple fiber providers. Management fees are calculated at 5.8% of collected revenue and are included in operating expenses. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Operating expenses totaled $335,000 or approximately 11.63 per square foot, with real estate taxes representing the largest line item.

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Summary and Notes

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Net operating income is projected to grow at a compound annual rate of 4.5% over the hold period. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Management fees are calculated at 4.8% of collected revenue and are included in operating expenses.

The facility is a purpose-built data center with 2 MW of critical IT load, N+1 power and cooling redundancy, and dual utility feeds. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Effective gross income for the trailing period was $245,000, representing a 12.9% increase over the prior year. Debt service coverage ratio was 6.19x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 5 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site infrastructure includes diesel generators, UPS systems, CRAC units and a biometric-controlled security perimeter. Service requests are tracked through a work-order system with an average completion time of 21 hours.

Collections for the period were 94.5% of billed charges, with bad debt of 6.5% of gross potential income. Tenants are billed per kilowatt of contracted capacity with power pass-through at metered cost. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Carrier-neutral meet-me room supports multiple fiber providers. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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